

Table 1.4 shows how quickly money can grow by utilizing the power of compound interest. Compound interest is when you are getting paid interest on not only the initial amount of money you started with, but also the interest that has already been paid to you. Each year this person is making over \$200 just by keeping the money in the account. After six years, the person has made \$1,261 without any effort! This may not seem like a large amount, but if you start investing your money when you are young, and if you can get a return of around 7% instead of 2%, you can save an incredible amount of money for a more secure future. Most importantly, this should show you that it is possible to turn your money into more money just by depositing it or investing it in the right place. We'll cover this in greater detail later, but just know that interest is not always evil.